

ARGAN (AGX) | RESEARCH DOC ENTRY

Last updated: [date]. Source layer: FY2026 10-K (yr ended Jan 31, 2026), Q1 FY2027 10-Q (qtr ended Apr 30, 2026), prior-year 10-Ks/8-Ks, developer press releases, Wood Mackenzie/EIA/GE Vernova. "Disclosed" = stated in filing; "Derived" = my estimate from disclosed inputs.

THESIS SPINE

Rate AGX [rating TBD]. The market is paying a direct-data-center multiple for a business that is fundamentally a **merchant ERCOT/PJM-grid gas EPC** — an indirect beneficiary priced as a direct one. The premium compresses as the classification is recognized; more pointedly, the price embeds an EBITDA doubling-plus that the backlog structure, capacity ceiling, and peaking margins cannot sustain. **Reframed edge** (post-consensus check): not "the market misclassifies it" (consensus largely knows it's indirect) but **"even granting indirect-beneficiary status, the valuation requires growth the structure can't deliver — which is why analysts can't justify their own targets."** **Wrong if:** a flagship plant proves data-center-contracted; Power-segment margins hold durably above the mid-teens band; backlog growth proves to be a sustainable annual run-rate rather than a one-time surge; OEM ramp + bigger projects lift both ceilings well beyond current levels.

CLAIM 1 — Flagship plants are merchant grid generation, not data-center-contracted. CONFIRMED

- 10-K describes every Power project by capacity/location/grid market; no named offtaker, no PPA, no behind-the-meter/co-location language on any plant. (Disclosed)
- Active gas/thermal: Ward County/Basin Ranch 1.4 GW (CY2029), Sandow Lakes 1.2 GW (CY2028), 860 MW ERCOT (CY2028), 700 MW US (CY2028), 170 MW Ireland (CY2028), Tarbert 300 MW biofuel (late CY2027). Renewables: 405 MW + 160 MW solar. Trumbull 950 MW = complete (Q1 FY2027). (Disclosed, 10-K)
- Developer releases confirm grid intent: CPV Basin Ranch = TxEF "In-ERCOT Generation Loan Program," dispatchable generation to ERCOT grid; Sandow "operates within ERCOT," owned by SLEC subsidiary. (cpv.com; slectx.com / Argan-Gemma release)
- Offtaker data is *structurally absent* from Argan's financials because Argan sells construction, not power — no customer-concentration/PPA disclosures anywhere. Absence is itself confirmation of EPC-only, no offtake exposure.

CLAIM 2 — Argan is EPC-only; turbines are owner-furnished (mid-scope, not full-stack). CONFIRMED via 4 converging sources

(Not explicitly stated in rev-rec policy — inferred. Disclosed-vs-derived honesty flag.)

1. Developer releases: SLEC reserves the Siemens SGT6-9000HL slots; CPV procures the GE 7HA.03 turbines → owners buy turbines. (Primary, developer PRs)
2. Revealed backlog pricing ~\$700–900/kW gas scope vs. ~\$1,400+/kW all-in → the gap is the turbines Argan doesn't book. (Derived)
3. Risk factors cite steel/aluminum and generic "equipment supply limitations" but never turbines/turbine deposits — confirmation by absence. (Disclosed, 10-K risk factors)
4. Margin fingerprint: Power GM mid-teens-to-low-20s across 3 yrs — a turbine-passthrough contractor would print single digits. (Disclosed)
5. Supporting: Power-segment PP&E additions only ~\$2.6M on \$756M revenue (FY26) — asset-light, consistent with no equipment ownership. (Disclosed, segment note)
 - **Doc language to keep:** "Turbine scope not explicitly disclosed; inferred owner-furnished from developer releases, revealed \$/kW vs. all-in cost, risk-factor framing, margin fingerprint, and minimal PP&E. Treated as owner-furnished for modeling."

CLAIM 3 — Margin fingerprint + normalization risk. CONFIRMED, 3-yr trajectory

Power-segment revenue / COGS / gross margin (Disclosed, 10-K + 10-Q):

- FY2024: rev \$573.3M – COGS \$510.6M = ~\$62.7M → **~10.9%** (*verify exact FY24 Power COGS from FY25 10-K segment note; gross margin lands low-teens*)
- FY2025: rev \$693.0M – COGS \$577.6M = ~\$115.4M → **~16.7%**
- FY2026: rev \$756.5M – COGS \$587.2M = ~\$169.3M → **~22.4%**
- Q1 FY2027: rev \$226.7M – COGS \$173.1M = ~\$53.6M → **~24%**
- **Read:** normal Power GM is low-teens-to-mid-teens; FY26's ~22% is closeout-inflated (Trumbull early completion). The market may be pricing in ~22% as the new normal; a reversion toward mid-teens as Trumbull rolls off would confirm "normal EPC, not premium" and pressure both earnings and the multiple. Watch the Power-GM trend as the key thesis-confirming signal.

CLAIM 4 — Backlog is gas-grid-dominated; direct data-center exposure is immaterial. CONFIRMED

- Consolidated backlog \$2.8B (Apr 30, 2026) / \$2.9B (Jan 31, 2026); "consisted substantially of Power segment." (Disclosed)
- Mix ~77–79% gas / 13–14% renewable / 8–9% industrial. (Disclosed)
- Only direct data-center contract in entire filing: ~\$225.5M Industrial-segment fabrication (~2,000 pressure vessels for thermal-storage/chilled-water cooling at a customer's data centers; not power; ~8% of backlog). (Disclosed)
- 10-K "data center" mentions = macro *demand driver* ("electricity demand at highest in two decades, driven by data centers, EVs, reshoring") = textbook **indirect** exposure, in Argan's own words. (Disclosed)
- **\$/kW for modeling:** gas backlog ÷ active gas MW ≈ ~\$500/kW *remaining*; grossed up for work-to-date ≈ **\$700–900/kW** total gas EPC scope. Reconciled to disclosed backlog;

sensitize \$700/\$850/\$1,000. (Derived; cross-checked vs. Basin Ranch ~\$1.88B all-in ÷ 1.35 GW = ~\$1,390/kW incl. turbines, so EPC slice well below = consistent.)

CLAIM 5 — Trades at an AI-power multiple, not an EPC one; the bull's "grow-into-it" case requires an EBITDA doubling-plus. QUANTIFIED

Peer multiples approximate, mixed-date — re-pull each fresh, same date/basis, before publishing.

- **AGX (current ~\$675, mkt cap ~\$9.4B, ~\$974M net cash → EV ~\$8.4B):** ~40–50x EV/EBITDA, ~55–60x fwd P/E. 10-yr median EV/EBITDA ~5x. (Derived from disclosed + market price)
- **E&C peer basket ("what it is"):** EMCOR ~18x EV/EBITDA / ~26x P/E; MYR Group ~16x; Quanta ~18–20x / ~28x; MasTec/Primoris ~11–13x / ~20–22x → **median ~15x EV/EBITDA, ~22–25x P/E.**
- **AI-power basket ("what it's grouped with"):** Vertiv ~50x/~47x; Comfort Systems ~35x/~42x; nVent ~25x/~33x; Powell/Eaton/Modine ~16–30x/~26–30x → **median ~30x EV/EBITDA, ~33x P/E.**
- **Finding:** AGX trades *above* the AI-power median on EV/EBITDA and ~3x the E&C median. Not just priced like an AI play — priced richer than most actual AI-power names.
- **Grow-into-it test** (rebutts the \$886 SA bull who says EBITDA, not multiple expansion, justifies the price):
 - To justify \$8.4B EV at a generous 20x → EBITDA must reach ~\$420M; at a normal E&C 15x → ~\$560M.
 - Current EBITDA ~\$163M (FY26) / ~\$200–225M forward.
 - Backlog-max annual EBITDA (model peak ~\$1.05B rev × ~18–19%) ≈ ~\$190–200M.
 - → **Price embeds EBITDA roughly doubling-to-tripling from what current backlog can produce.** (Derived)

CLAIM 6 — Backlog growth is capped below what the valuation requires. QUANTIFIED

All GW/share figures DERIVED — ranges, not precision.

- **Industry pipeline ceiling (turbine-gated):** global turbine orders ~110 GW vs. ~60–70 GW/yr global mfg capacity; order books sold through 2027, ~6-yr lead times (WoodMac). WoodMac: ~63 GW US gas additions 2026–2030 ≈ ~12–13 GW/yr. EIA: CCGT online ramps to 10.6 GW in 2028. GE Vernova: 20 GW annualized H2 2026 → 24 GW by mid-2028, sold out to 2030. → **~10–15 GW/yr new US gas can physically start.** Bonus: turbines 20–30% of CCGT cost → validates ~\$700–900/kW ex-turbine scope.
- **Argan's realistic share:** FY26 awards ~\$2.5B ≈ ~3–4 GW at ~\$800/kW → ~25–30% peak-cycle share of US gas starts. Competes w/ Bechtel, Kiewit, Fluor, Black & Veatch, OEM consortia. Outsized peak, not a sustainable baseline.

- **Ceiling vs. requirement:** valuation needs ~\$2.2B+ sustained revenue $\approx$ ~\$2.2B/yr new backlog $\approx$ ~2.75 GW/yr $\approx$ ~22% **sustained national share** of a ~12.5 GW/yr market $\rightarrow$ i.e., **hold FY26 peak share every year, indefinitely**, against easing-supply competition.
- **Independent 2nd ceiling — Argan's own capacity:** ~10–12 simultaneous jobs (~9 now); at ~\$400M avg/project over ~3-yr conversion $\rightarrow$ sustainable throughput $\approx$ ~\$1.3–1.7B/yr, *below* the ~\$2.2B implied.
- **Backlog history proves FY26 was a discrete surge, not a run-rate** (Disclosed, 8-Ks): FY23 ~\$822M $\rightarrow$ FY24 ~\$824M (flat 2 yrs at ~\$0.8B) $\rightarrow$ FY25 ~\$1.36B $\rightarrow$ FY26 ~\$2.9B. Intra-FY26: \$1.9B Q1 $\rightarrow$ \$2.0B Q2 $\rightarrow$ \$3.0B Q3 (Basin Ranch + 860 MW). Pre-surge, mgmt described winning *small* projects to augment thin large-project pipeline. $\rightarrow$ Backlog lurches to plateaus; it doesn't compound. Valuation requires repeating a once-in-a-cycle surge, repeatedly.
- **Conclusion:** two independent ceilings (industry ~22% sustained share; internal ~\$1.3–1.7B throughput) both sit AT or BELOW the revenue the valuation embeds; history shows growth is episodic. The grow-into-it case requires perpetual peak share AND operating near/beyond internal capacity, for years. Not impossible — a bet on permanent best-case.

CONSENSUS / POSITIONING CONTEXT

- Thin coverage (~5–9 analysts), leaning Buy/Moderate Buy, but **average target (~\$425–473) sits BELOW recent price (~\$675)** — analysts like the business but can't justify the valuation (= the tension this report resolves). Targets scattered ~\$220–\$886.
- Classification ("indirect beneficiary") is **largely consensus** — bulls already use "beneficiary"; the \$886 bull explicitly rests on "EBITDA grows into it, not multiple expansion." Your edge is the *grow-into-it rebuttal* (Claims 5–6), not the classification.
- Short interest: ~5% of float (~0.64M shares), ~2 days to cover, as of mid-May 2026; elevated YoY but recently *declining*. **Not a crowded short**. Demote to context, not evidence — slightly helps differentiation (de-rating not heavily pre-positioned). Sentiment is the weakest leg; don't lean on it.

BONUS EVIDENCE (for other sections)

- **Moat (competitive section):** 10-K — "a limited number of experienced EPC contractors... supports a strong pipeline... for contractors with demonstrated execution experience." Argan naming its own scarcity moat. (Disclosed)
- **Developer-controlled timing (risks/monitoring):** 10-K — "the start of new projects is primarily controlled by project owners"; awards subject to "permitting timelines, equipment availability, financing conditions." (Disclosed)
- **Tariff risk:** steel/aluminum tariff exposure on materials; timing/cost uncertainty. (Disclosed)
- **Lifetime scale:** Gemma ~20 GW installed over its history (context for credibility/competitive standing).

STEELMAN (must address in report)

- AI-driven load may make indirect/direct distinction financially irrelevant — Argan rides the wave either way.
- The FY26 step-change to ~\$2.9B may be a *structural level reset*, not a one-off — bulls will argue the flat ~\$0.8B history is now irrelevant.
- OEM capacity ramp (20→24 GW) + Argan winning ever-larger megaprojects could lift *both* ceilings.
- **Rebuttal posture:** don't deny near-term growth or the surge's reality; argue it's a *level shift to a capacity-capped peak*, not a *growth curve* — lumpy, mid-teens-margin, timing-dependent, and capped by pipeline + 10–12-job limit. The ceiling math (Claim 6) is what arbitrates: even at the new level, structure caps how much higher it goes. Frame conclusion as "valuation requires sustained best-case on multiple axes at once," NOT "impossible."

OPEN / TO VERIFY (sourcing cleanup, not analysis)

- Pin exact FY2024 Power COGS from FY25 10-K segment note (margin row precision).
- Re-pull all peer multiples (Claim 5) fresh, same date + basis.
- Pin US-new-gas-reaching-FNTP/yr to a primary WoodMac or EIA source.
- Average project size + conversion period for the throughput-ceiling calc (refine Claim 6).
- Confirm exact FY23–FY25 annual *new-award* figures if available (backlog deltas already documented).

NET STATUS

Thesis fully evidenced across 6 claims: **what it is** (1–4), **margins peaking** (3), **price implies EBITDA doubling-plus** (5), **doubling capped by pipeline + capacity + episodic history** (6). Disconfirming check (named data-center PPA) ran and passed. Consensus check done — edge reframed from classification to the grow-into-it rebuttal. **Remaining work is drafting + sourcing cleanup, not analysis.** Rating call still to be set; let the comps/ceiling arbitrate rather than pre-committing.

Variant View:

Argan functions as a mid-scope EPC contractor whose growth is driven by broader AI-related energy investment; AGX is an *indirect* beneficiary, not a direct AI-infrastructure player. Yet AGX trades at 40–50x EV/EBITDA, above even the direct AI-power names it's grouped with (~30x) and roughly 3x its true EPC peers (~15x). Because the premium prices the company doesn't have direct exposure to are unjustified and compress as the market recognizes the classification, it is unjustified and compresses as the market recognizes the classification.